Revision Date:
July 1, 2024

Background:
An overpayment is any amount of any aid payment received by an Assistance Unit (AU) that they were not entitled to receive. An overpayment may be all, or a portion, of the payment. This includes payments issued for regular aid payment, Immediate Need, Homeless Assistance, Aid Paid Pending (APP) for a state hearing, or Employment Services (ES).

Purpose:
The purpose of this section is to provide the requirements to establish overpayments. This revision is to incorporate the implementation of the Potential Intentional Program Violation (IPV) policy and establishment of claims resulting from IPVs.

Policy:
General
All reasonable steps necessary to promptly correct and collect any known overpayments must be taken. The following are roles/guidelines for evaluating, establishing and collecting overpayments:

- The Human Services Specialist (HSS) determines and computes all overpayments and grant adjustments.
  - The HSS determines from whom (the adult liable individual) the overpayment can be collected. If the liable individual is no longer in the AU, the overpayment is referred to Office of Revenue and Recovery (ORR). Only after all efforts to collect from the liable individual are exhausted, can the overpayment be collected from the AU. Refer to CPG 44-250.G for additional information.
- Quality & Eligibility Support Department (QESD) computes overpayments based on Bureau of Public Assistance Investigations (BPAI) reports and the review/findings of Integrated Fraud Detection (IFD) reports.
- BPAI investigates and evaluates cases with suspected fraud and determines whether to prosecute.
- ORR demands repayment, establishes collection accounts, and seeks civil judgments for overpayments which can no longer be recouped by grant adjustment.
- Suspected fraud overpayments that are not prosecuted by BPAI are evaluated by QESD for an Administrative Disqualification Hearing (ADH). Refer to CPG 44-350.J for additional information.

Establishment of Overpayment
Overpayments will be established based on the following:

- Customer's failure to report accurately and completely.
- County error.
- County inability to issue the correct grant amount due to 10-day notice requirement when the customer reported timely, completely, and accurately.

Late reporting applies to the timing of mandatory mid-period reports, as well as the timing of the submission of the SAR 7 Eligibility Status Report form or redetermination. An overpayment will be established based on mandatory reports of information impacting eligibility when the customer received a grant amount to which they were not entitled under Semi-Annual Reporting (SAR) and Annual

Reporting/Child Only (AR/CO) rules, regardless of whether the customer reported timely, except as noted under the Overpayment Will Not Be Assessed section below.

Overpayment Will Not Be Assessed

Overpayment will not be assessed:

- For Technical Overpayments (Refer to CPG 44-350.B).
- Based on any differences between the amount of income the county reasonably anticipated the customer would receive during the payment period, and the income the customer actually received during that period, provided the customer's reports were complete and accurate.
- For changes which were not required to be reported, but that may be voluntarily reported. An overpayment cannot be assessed based on an AU failing to make a voluntary mid-period report, or when the required report does not impact eligibility.
- For mid-period changes to deprivation, property or household composition, unless the changes are not reported on the following SAR 7 or at redetermination. The changes in deprivation, property and household composition are only required to be reported on the SAR 7 or at redetermination.

Note: Customers may waive the 10-day notice requirement to avoid incurring an overpayment. The HSS will explain and offer this option to the customer.

Effective January 1, 2017, if a 10-day notice of a reduction or termination of the benefits cannot be provided, no overpayment will be established for the following month after the AU timely reports a change in:

- Income over the Income Reporting Threshold (IRT) for a SAR AU.
- Income over the IRT or household composition for an AR/CO AU.

Two-Year Overpayment Establishment and Calculation Timeframe

Effective July 1, 2022, a non-fraudulent overpayment will only be established if all or a portion of the overpayment occurred within the 24 months immediately prior to the date of discovery. The date of discovery is the date it is determined by computation that an overpayment has occurred. The overpayment claim will be considered established as of the date of the initial demand letter or written notification. The date of discovery must be documented in a journal entry for the case reviewers to more easily determine that the established overpayment claim follows the 24-month establishment and calculation policy.

When establishing an overpayment, any overpaid benefits that were paid or issued more than 24 months prior to the date of discovery must not be included when calculating the overpayment claim. For example, in July 2022 it is discovered that the AU was overpaid benefits starting in June 2019 through May 2022. The overpayment claim is established in the same month. In this scenario, the HSS would only calculate an overpayment for August 2020 through May 2022 as those months fall within the 24-month period from August 2020 through July 2022, when the county discovered the overpayment. The overpayment from June 2019 through July 2020 falls beyond the 24-month timeframe and will not be included when the overpayment is calculated. Claims established prior to the implementation of this policy must not be recalculated, except for overpayment claims that have been later determined to be fraudulent.

The 24-month timeframe for establishing and collecting an overpayment does not apply to fraudulent overpayments. A fraudulent overpayment is classified as an IPV claim. For an already established non-fraudulent overpayment claim that is later determined to be fraudulent, the non-fraudulent overpayment claim must be reclassified as an IPV and may include overpayment months beyond the 24-month limit (refer to the Potential IPV Overpayment Type section below).

Potential IPV Overpayment Type

For cases involving suspected fraud to move forward with either a referral for prosecution or a request for an ADH, that include overpayments beyond the 24-month establishment period, two claims must be created, the original nonfraudulent claim and the Potential IPV claim for the portion of the overpayment beyond the 24-month establishment period. The Potential IPV claim must be created in a suspended status since collection is not allowed until an IPV has been found.

A CW 377 *CalWORKs Informational Notice Potential Intentional Program Violation* (IPV) notice must be sent to inform the customer of the calculated Potential IPV overpayment amount beyond the 24-month period. This notice must be sent at the time the case is referred for prosecution or a request is submitted for an ADH.

If an IPV is substantiated through the criminal prosecution or ADH processes, the overpayment type must be reclassified from Potential IPV to IPV. Once the IPV claim is established, the appropriate IPV Notice of Action (NOA) and corresponding budget worksheet must be sent to the customer. If an IPV is not substantiated through the criminal prosecution or ADH processes, the Potential IPV overpayment claim must be deleted.

Overpayment Adjustment

An overpayment adjustment will only be started at the beginning of a payment period. Benefit adjustments will be discontinued mid-period when the overpayment is completely recouped.

However, complete recoupment of one overpayment in mid-period may permit the recoupment of another overpayment in the following month (that is, before the next payment period), the next overpayment recoupment may begin in mid-period as long as the amount being adjusted does not result in the benefits being decreased mid-period.

Mandatory Reporting

Per SAR and AR/CO rules, customers must report the following:

- Fleeing felon status.
- Probation/parole violations.
- Income over the IRT.
- Address changes, including moving out of state mid-period.

Refer to CPG 44-260.D and CPG 44-270.G for complete mandatory reporting information.

An overpayment will be calculated for failure to report any of the above, except for address changes when they do not involve a move out of state.

For mandatory mid-period reports, which either result in ineligibility or a decrease to the grant amount, but it is too late to provide a 10-day notice of adverse action, the benefits must be released for the next month at the previous (higher) level, then establish an overpayment, except as noted under the Overpayment Will Not Be Assessed section above.

Voluntary Reporting

Changes which are not required to be reported, but voluntarily reported, will not be considered when determining overpayments.

When an AU voluntarily reports the acquisition of property in excess of the property limit, the customer's benefits will not be discontinued mid-period. The AU will remain eligible for the entire period. A No Change NOA must be sent to the household. The customer must report the information on the next SAR 7 or redetermination.

Voluntary changes need only be reported on the SAR 7 that follows the change. If the change is not reported when the SAR 7 is submitted, that is when the AU will be considered to have failed to report. In this case, the AU will be notified of an incomplete SAR 7 and the appropriate NOAs issued. If this is not done, any resulting overpayments will be recorded as Agency Error, with the overpayments established for the amount the AU was not entitled to receive, beginning the SAR Payment Period after the incomplete SAR 7 or redetermination were due.

Recoupment

- Any non-willful overpayment which occurred prior to April 2, 1982, will not be collected except through voluntary repayment.
- For any willful overpayment which was discovered prior to April 2, 1982, if the maximum adjustment period did not expire prior to April 2, 1982, the adjustment will continue as long as necessary to recover the overpayment.
- For any overpayment, which is discovered after April 2, 1982, the overpayment is to be recouped in accordance with regulations in effect on the date of discovery.
- When the overpayment is determined to be due to excess property, the overpayment is to be recouped in accordance with CPG 44-350.F.
- All reasonable steps necessary to promptly correct and collect all overpayments will be taken regardless of the overpayment amount - Refer to the Closed Cases and NOAs sections below for appropriate actions when the claim balance is less than the established threshold.

Active Cases

The amount that can be recovered is the **total** amount calculated. For active cases, the automated system initiates recoupment once an overpayment is established.

Closed Cases

If the CalWORKs program discontinues with outstanding overpayments (or if the overpayments are established for closed cases), the claims balance is automatically referred to ORR via the automated system / Revenue Plus Collection System (RPCS) interface. ORR staff will establish a collection account and will initiate collection activities on all outstanding overpayments as follows:

- IPV or fraudulent:

  - ORR will start collection activities on any remaining balance, regardless of the amount.
- The amount of non-fraudulent overpayment is **$250 or more**:
  - Collection of overpayments will be demanded from any **liable** individual of the overpaid AU.
  - If the overpayment is being paid in installments, collection efforts must cease once the balance of the outstanding overpayment falls under $250.
  - The payment that takes the overpayment claim below $250 will be the last payment accepted, after which the remaining overpayment balance will be placed in a suspended status.
    Example: There is a repayment agreement of $30 a month for an overpayment of $900. After 21 payments, the balance is $270. The next payment of $30 brings the balance to $240. This is the last payment required and the claim will then be placed in suspended status. Any subsequent payments made on the remaining overpayment balance of $240 must be refunded.
- If the amount of non-fraudulent overpayment is **less than** $250:
  - Collection of overpayments will **not** be demanded from any individual of the overpaid AU.
  - For newly closed cases claims totaling less than $250 will be placed in a suspended status.
- The $250 overpayment threshold applies to each non-fraudulent overpayment claim, rather than the total overpayment figure resulting from multiple overpayment claims.
- The $250 threshold for collection applies to all closed CalWORKs cases with overpayment claims, including claims related to ES Supportive Services.

Refer to CPG 44-350.M for information on discharging non-fraudulent overpayments, when the CalWORKs case has been closed and the individual(s) responsible for the overpayment has not received aid under CalWORKs program for 36 consecutive months or longer in California.

Civil or Criminal Prosecution for CalWORKs Overpayments

Effective July 1, 2019, a civil or criminal action will not be made against any individual based on alleged unlawful application for or receipt of public social services if the case record, or any consumer credit report used in the civil or criminal case for the purpose of determining the overpayment, has not been made available to the individual or has been destroyed after the expiration of the three-year retention period.

Procedure:

To be able to start or continue collecting an overpayment after the case is discontinued, the AU must have been notified of the overpayment. Therefore, all closed CalWORKs cases must be thoroughly reviewed **before** being assigned to the closed case bank to ensure:

- NOAs and budget worksheets have been sent to the AU for each claim.
  - The required NOA fields completed, the notices reviewed for information accuracy and the NOAs issued to the liable individual(s).
- Refer to CPG 44-350.I section for Non-System Determined Claims.
- A journal entry to document a complete and clear explanation of the reason for the overpayment and action taken.

For overpayments not currently being collected, such as when the liable individual for the overpayment leaves the AU or the home of the AU, the unlocatable procedures must be followed:

- If the overpayment was referred to ORR contact ORR to determine if the person is unlocatable and follow up/review ORR's response within 30 days.

- An overpayment can only be collected from other members of the AU, after all efforts to collect from the person responsible for the overpayment have been exhausted.

Refer to the *Overpayment Threshold and Discharge Process Examples* desk aid, located in Eligibility Essentials, for overpayment threshold and overpayment discharge examples.

Impacts:

Other Programs

These overpayment regulations also apply to the Refugee Cash Assistance (RCA) and Trafficking and Crime Victims Assistance Programs (TCVAP).

NOAs

- M44-352A, *Notice of Overpayment and Demand.*
  To be issued when the case discontinues, and the overpayment was never collected through grant reduction - For non-fraudulent claims less than $250, and the liable individuals are not recipients in another case, M44-350M must be issued instead.
- M44-352G, *Demand Overpayment*.
  To be issued when the case discontinues, the overpayment was being collected through grant reduction, and there is a balance owing of $250 or more - For non-fraudulent claims less than $250, and the liable individuals are not recipients in another case, M44-350M must be issued instead.
- M44-350M, *Suspension of Overpayment*.
  This NOA informs former customers that:
  - Overpayment claims less than $250 will be placed in a suspense status following the case discontinuance.
  - Collection of the overpayment will resume if the individual becomes a CalWORKs recipient.
- M44-350N, *Suspend Overpayment Recovery*.
  This NOA informs former customers who are making payments (on a discontinued case), and once the outstanding balance drops under $250, that:
  - They should no longer make additional payments because the overpayment balance is less than $250.
  - Collection of the overpayment will resume if the individual becomes a CalWORKs recipient.

References:

- Assembly Bill (AB) No. 135.
- Senate Bills (SB) No. 80, 726.
- Welfare and Institutions Code (W&IC) 10851, 11004.
- Eligibility and Assistance Standards (EAS) 44-350.
- All County Letters (ACLs) No. 16-120, 19-102, 21-109, 23-19.
- All County Information Notice (ACIN) No. I-72-19.

Sunset Date:

This policy will be reviewed for continuance by July 31, 2027.

Approval for Release:

7-3-24

Rick Wanne, Director
Self-Sufficiency Services